

day fall of 22%, the near-20% drop during the 1990 recession, the 14% stumble during the Asian currency crisis of 1997, and the 20% fall during the collapse of hedge fund Long-Term Capital Management in 1998.

Sell-offs of 20% or more can and do occur during a bull market without disrupting the underlying strength of the expanding economy.

March 23, 2020 turned out to be the bottom, although at the time, very few people could even conceive of such a thing, much less believe it. The long-term factors that drove the US economic expansion after the GFC were still in effect: Low interest rates, technological innovation, and the continuing shift to services.

The average investor should be working from a long-term plan that won't blow up because of a short-term disruption caused by issues like a pandemic or the assassination of a politician. It is always important to remain disciplined and stick with your goals.



Despite the pandemic-induced crash, in 2020 the market bottomed and then rallied strongly, quickly making up the drawdown, and then moving on to all-time highs. Let's see what lessons can be learned from that experience.

---

[203](#) Barry Ritholtz, "Maybe the Coronavirus Didn't End the Bull Market," Bloomberg (April 1, 2020). Every rally or bust has large counter moves that may not be a real break from underlying trends.

[204](#) Michael Batnick, "The Fastest Bear Market Ever," The Irrelevant Investor (March, 2020).

[205](#) Barry Ritholtz, "Pick Another Day to Celebrate the Bull Market's Birthday," Bloomberg (March 9, 2018).